

Religions share many of these same elements. They have formal and informal structures that help them last for very long periods of time. Hinduism has been around for 5,000 years. These are living institutions that are rooted in tradition, but also are dynamic, changing slowly with the times.

Buddhism has been around for about 2,500 years. The Kongo Gumi family set up their family business right alongside the Buddhist religion, making themselves an institution by building temples for over 1,000 years. It shows you how effective these structures can be at preserving family wealth over the very long term.

Your family needs these structures, too, if you want it to last.

You want to turn your family money into an institution, rather than a temporary collection of people or the reflection of a single personality. Wikipedia defines an institution as “any structure or mechanism of social order and cooperation governing the behavior of a set of individuals within a given human community. Institutions are identified with a social purpose and permanence, transcending individual human lives and intentions, and with the making and enforcing of rules governing cooperative human behavior.” Order, cooperation, permanence—these are the things that help families hold onto money.

When family fortunes are lost, it’s usually the family that falls apart first. And it falls apart because it lacks organization and leadership. The problems are almost always family-centered, not money-centered.

And that’s why the solutions can’t come from outside the family. They need to come from inside it. Outside professionals can help temporarily, perhaps, but they can’t solve family problems. And when a family turns to outside professionals, it is often too late.

As we discussed in Chapter 2, the family needs to create a well-developed culture, a shared sense of history, a common purpose, and so forth. These are essential. But there are also specific structures, such as a Family Council and a family investment committee, that help the family govern itself. Even a large, tax-advantaged family fortune will most likely disappear within three generations without the proper family governance system in place.